

The Tax-Strategy Guide Library

Five strategies real estate agents actually use — the math, the documentation, and the mistakes that trigger audits. 2026 edition, updated for the One Big Beautiful Bill Act.

How to read these guides: each one ends with a specific question for your CPA. These pages make you a better client — they don't replace the professional. Every strategy here is legal, mainstream, and audit-survivable when documented properly. None of them work retroactively, which is why agents who plan in January keep more than agents who react in April.

Guide 1 — The S-Corp Threshold

The single biggest structural decision for a producing agent. As a sole proprietor, every dollar of net commission income pays 15.3% self-employment tax (12.4% Social Security up to the \$184,500 2026 wage base, plus 2.9% Medicare on everything). An S-corp splits your income into W-2 salary (payroll-taxed) and distributions (not payroll-taxed).

The math at \$150,000 net income

	Sole Prop	S-Corp (\$80K salary)
SE / payroll tax	\$21,194	\$12,240
CA franchise tax (1.5%, \$800 min)	\$0	≈ \$958
Payroll service + extra tax prep	\$0	≈ \$3,600
Total	\$21,194	≈ \$16,798
Annual savings		≈ \$4,400

The savings grow with income — but three things eat into them: the CA 1.5% franchise tax, admin costs, and the QBI interaction (salary isn't QBI, so your 20% deduction base shrinks). That's why the internet's 'incorporate at \$40K!' advice is wrong for California agents.

- **Rule of thumb:** the conversation starts at ~\$80,000 of consistent net income; the math is usually compelling by \$120,000+.
- **California catch:** commissions must flow to a licensed corporation — coordinate with your broker of record and the DRE before converting.
- **Reasonable comp is the audit issue:** the IRS attacks token salaries. Use the Reasonable Comp worksheet in the Entity Decision Kit and keep it in your corporate records.

Ask your CPA: 'At my income, what does the S-corp save AFTER the QBI interaction, the 1.5% franchise tax, and payroll costs — and what salary will you defend?'

Guide 2 — The Home Office Deduction

Agents fear this deduction for no good reason — it's mainstream, and as an independent contractor you're not subject to the W-2 employee suspension. The space must be used regularly and **EXCLUSIVELY** for business, and it should be your principal place of business (administrative work counts, even though you meet clients elsewhere).

Two methods

	Simplified	Actual expense
How it works	\$5 × sq ft (max 300)	Business-% of rent/interest, utilities, insurance, repairs, depreciation
Max/typical value	\$1,500 flat	Often \$3,000–\$8,000 for a dedicated room
Recordkeeping	Almost none	Full expense records
Downside	Small	Depreciation recapture when you sell (owned homes)

The sleeper benefit: a qualifying home office makes trips from home to listings, showings, and the brokerage **business miles instead of commuting miles** — which supercharges Guide 3.

- Measure the space, photograph it, and keep the exclusivity honest — a desk in the guest bedroom qualifies only for the desk's dedicated area if the room serves double duty.

Ask your CPA: 'Simplified or actual for my situation — and if actual, how does depreciation recapture interact with my Section 121 exclusion when I sell?'

Guide 3 — The Vehicle Strategy

Driving is most agents' largest legitimate deduction — and the most under-documented. Two methods, chosen per vehicle in the first year you use it for business:

	Standard mileage (2026: 72.5¢/mi)	Actual expense
15,000 business miles	\$10,875 deduction	Gas, insurance, repairs, depreciation × business-%
Best for	Efficient cars, high miles	Expensive vehicles, high business-use %
Records needed	Contemporaneous mileage log	Mileage log PLUS every receipt

The heavy-vehicle accelerator (post-OBBA)

With 100% bonus depreciation now **PERMANENT** (property placed in service after Jan 19, 2025), a vehicle over 6,000 lbs GVWR (many full-size SUVs and trucks) used over 50% for business can be written off almost entirely in year one via Section 179 + bonus depreciation. A \$70,000 SUV at 80% business use ≈ \$56,000 first-year deduction. Powerful — and the most abused strategy in real estate.

- The mileage log is non-negotiable: the IRS wins these audits by default when there's no contemporaneous log. Use MileIQ/Everlance or a calendar-reconstruction discipline.
- Business use must **EXCEED** 50% and stay there — recapture applies if it drops.

Ask your CPA: 'Given my miles and my car, standard or actual? And if I'm replacing the vehicle, does a >6,000-lb GVWR purchase change the math?'

Guide 4 — The Augusta Rule (§280A(g))

Rent your own home to your business for up to 14 days per year: the business deducts the rent, and you receive it **tax-free** — it never appears on your return. Named for Augusta National members renting homes during the Masters.

How agents use it

- Quarterly business-planning days, team trainings, client-appreciation events, video-shoot days — hosted at your home instead of a rented venue.
- The rent must be MARKET RATE: document comparable meeting-space pricing (hotel meeting rooms, Peerspace) for your area and season.
- Paper trail: written rental agreement, invoice from you to the business, actual payment, meeting agenda and attendee list for each date.

The honest math

12 meeting days × \$600/day documented market rate = \$7,200 deducted by your S-corp and received tax-free by you. At a combined ~40% marginal rate that's ≈ \$2,900 of real savings — every year.

- This works cleanly ONLY with an entity (S-corp/partnership). Sole proprietors renting from themselves get nothing.
- 14 days means 14 — day fifteen makes ALL of it taxable rental income.

Ask your CPA: 'Will you support Augusta-rule rentals if I bring comps, agreements, and minutes for each date — and what daily rate is defensible in my market?'

Guide 5 — Retirement for the Self-Employed

The highest-leverage legal deduction available to you. Nothing else turns a tax bill into net worth. 2026 limits:

Plan	2026 max	Best for
Solo 401(k)	\$24,500 employee + ~25% of comp employer, to \$72,000 combined highest \$8,000 catch-up at 60+ income	High income, up to \$125,000
SEP-IRA	25% of compensation, to \$72,000	Simplicity; no employee deferral component
Traditional/Roth IRA	\$7,500 (+\$1,100 catch-up)	Everyone, alongside the above

Why the Solo 401(k) usually wins: the \$24,500 employee deferral doesn't depend on a percentage of income. An agent with \$80,000 of net income can shelter far more through a Solo 401(k) than a SEP allows at the same income.

- S-corp interaction: employer contributions key off your W-2 SALARY, not distributions — set salary with retirement goals in mind, not just payroll-tax minimization.
- Deadline discipline: a Solo 401(k) must generally EXIST by year-end to accept that year's employee deferrals — don't wait for tax season.
- The real-estate kicker: self-directed variants can hold rental property and notes — advanced, rule-heavy, but it's how some agents buy investment property with pre-tax dollars.

Ask your CPA: 'Model a Solo 401(k) at my income: employee + employer pieces, and how the deduction changes my QBI and my quarterly estimates.'

The compounding truth

None of these strategies is dramatic alone. Together, for a \$150K-net agent: S-corp (~\$4,400) + home office (~\$2,000) + honest mileage (~\$3,500 of previously unclaimed miles) + Augusta (~\$2,900) + a funded Solo 401(k) (~\$12,000 of tax deferred) can move \$20,000+ a year from the IRS column to your column — every year, compounding. That's a rental-property down payment every three to four years, funded entirely by paperwork discipline.